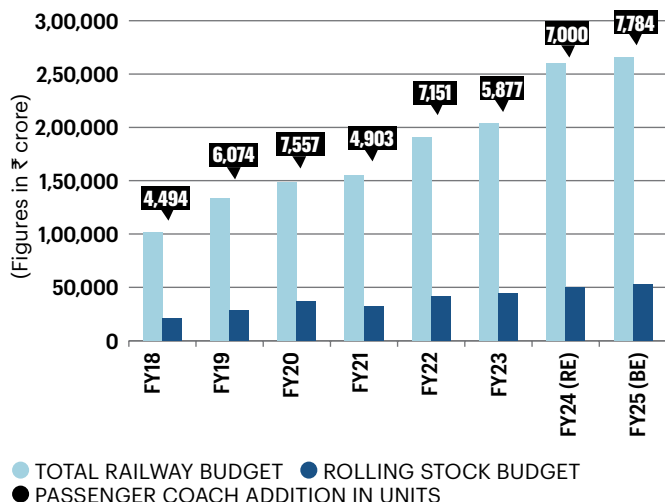


BUDGET MATH

● Budgetary allocation to Railways has grown at a 13% CAGR since FY18

● The government's target for passenger coach addition has grown at a 7.6% CAGR over FY18-25BE



RE REVISED ESTIMATES

BE BUDGET ESTIMATES

SOURCE PRABHUDAS LILLADHER



“This [export of Vande Bharat trains] is where the opportunity lies for PLI and if you want to look at exports then your vendor base should be strong”

AMIT ANWANI

LEAD EQUITY ANALYST – CAPITAL GOODS, INDUSTRIALS, DEFENCE, PRABHUDAS LILLADHER

upgrade tracks for Vande Bharat trains to run at their maximum speed to cut down travel time for passengers. We need more commitment to execute track upgradation work keeping in mind there is no shortage of funds as budgetary allocation to the Railways was at a record high at ₹2.6 lakh crore in FY25 from ₹40,000 crore 10 years ago,” says Mani.

The Railways is likely to invest ₹7 lakh crore over the next decade to lay 50,000 km of new train tracks to modernise its network and boost the top speed of trains, say experts. For context, the route length of the Indian Railways is around 69,000 km across the country. But laying tracks is expensive. According to estimates by the Railways, laying 1 km of track involves expenditure of around ₹15 crore and the price fluctuates based on steel prices and land availability.

Already, there has been some delay in the introduction of the sleeper version of Vande Bharat. Scaling up capacity may take time and Anwani feels that the government's aim to have 800 Vande Bharat trains by 2030 may be difficult to achieve. “I think it will be somewhere between 650-700 Vande Bharat [trains] by 2030,” he says.

For Mani, achieving the target will need more

commitment and focus. “Development of a sleeper version to replace Rajdhani and other premium overnight trains was necessary... [but] we still don't have them after nearly six years of the [original] prototype,” he says. Mani also questions the efficacy of the Vande metro. “It will be on the lines of intercity MEMU trains. At present their fare is around 30 paise per km, which works out to ₹40-50 for a distance below 150 km... If you charge Vande Bharat-type fares, what is the kind of occupancy and patronage do you expect?” he asks.

While some questions persist, Vande Bharat has established itself as a popular product with travellers and set the foundation for the modernisation of Indian Railways. Its next task is to establish India as a rail manufacturing hub. Will it succeed? We will have to wait till 2030 to find out. **BT**

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